mutual fund account collectively valued at $3,800 and retirement assets of $35,200, which they have accumulated through their work pension plans. They have accumulated $6,000 in tax-deferred savings within an insurance policy, something I discuss further in Chapter 3, "Diversification over Space and Time." They have invested a large portion of their financial capital—$65,000—in government, corporate, and foreign bonds, and $15,000 in publicly traded stocks. In fact, you should construct your own personal balance sheet listing of assets, which is an important exercise to do on an annual basis. It should look similar to Table 1.1.

TABLE 1.1 Financial Assets of Family, Inc.

Type of Asset	% with Asset	Median Amount	Change from '01
Transaction Account	91.3%	$3,800	**–9.52**%
CDs	12.7%	$15,000	**–6.25**%
Savings Bonds	17.6%	$1,000	**–9.09**%
Bonds	1.8%	$65,000	+35.7%
Stocks	20.7%	$15,000	**–29.6**%
Pooled Investment Funds	15.0%	$41,000	+9.92%
Retirement Accounts	49.7%	$35,200	+13.9%
Cash Value in Life Insurance	24.2%	$6,000	**–43.9**%
Other Managed Assets	7.3%	$45,000	**–39.7**%
Other	10.2%	$4,000	**–16.7**%

Data Source: U.S. Federal Reserve Consumer Finances Survey 2004, Table 5 04; IFID Centre calculations.

Table 1.2 moves on to the nonfinancial and illustrates that the median family has various personal use assets, which they might consume or use in their daily lives. The most common nonfinancial asset is a vehicle. If we think in terms of medians, they would have purchased a new car less than two years ago, and its current market value is estimated at $14,000. The house they reside in is valued at $160,000 and they have a vacation property that they've recently acquired for $100,000. According to Table 1.2, approximately 11.5% of American families have equity in a privately held business. The median value of this business holding (for those who own this type of asset) is $100,000.